■ RRSP Guide

Registered Retirement Savings Plan — Rules, Strategies & Tax Implications

Account 2 of 4 · Tab: RRSP Portfolio

What is an RRSP?

The Registered Retirement Savings Plan (RRSP) is Canada's primary retirement savings vehicle. Contributions are tax-deductible — meaning you get a tax refund today. Growth inside the RRSP is tax-sheltered. Withdrawals in retirement are taxed as income, but at a lower rate because your income is lower in retirement.

■ *The RRSP is most powerful for high earners. If you contribute in a high-income year and withdraw in a low-income year (retirement), the tax arbitrage is significant.*

Contribution Rules

Rule	Detail
Annual limit	18% of prior year earned income minus your Pension Adjustment (PA). Check your NOA for your exact limit.
2026 maximum	$32,490 — your personal limit may be lower depending on your income
Deadline	March 1, 2027 to claim deduction for the 2026 tax year
Unused room carryover	Unused RRSP room accumulates indefinitely. You can catch up any time before age 71.
Over-contribution	$2,000 lifetime buffer allowed. Beyond that: 1%/month penalty. CRA tracks via T1028.
Spousal RRSP	Contribute to a spousal RRSP using your own deduction room — the growth and withdrawals belong to your spouse, splitting retirement income.
Conversion deadline	Must convert to RRIF by December 31 of the year you turn 71. Minimum annual withdrawals apply.
Home Buyers Plan	Withdraw up to $60,000 ($120,000/couple) tax-free for a first home purchase. Must repay over 15 years.

Tax Implications — RRSP

Income Type	Inside RRSP	Tax Benefit	CRA Line
Contribution	Tax deduction on contribution	Get back 28.2% of contribution as refund at 28.2% bracket	Line 20800
Capital Gains	Tax-deferred — no annual tax	Compound without annual capital gains drag	None (until withdrawal)

Canadian Eligible Dividends	Tax-deferred — no annual tax	Dividend tax credit NOT available on RRSP withdrawals	None (until withdrawal)
US/Foreign Dividends	0% IRS withholding — Canada-US tax treaty applies	Save 15% IRS withholding vs TFSA or Margin — the biggest RRSP advantage for US stocks	None (until withdrawal)
Interest Income	Tax-deferred — no annual tax	Shield bond/GIC interest from your full marginal rate	None (until withdrawal)
RRSP Withdrawals	Taxed as ordinary income	20% withholding on withdrawal, reconciled at tax time	Line 12900

■ *Canada-US Tax Treaty: US dividends and US ETF distributions inside an RRSP have ZERO IRS withholding. This is the most important reason to hold US stocks in your RRSP — not your TFSA.*

The RRSP Tax Refund — Make It Work For You

Scenario	Amount
RRSP contribution	$10,000
Your marginal tax rate (BC+Fed)	28.20%
Tax refund received	$2,820
Net cost of contributing $10,000	$7,180
RRSP now worth	$10,000 — growing tax-deferred
Reinvest the refund into TFSA/RRSP	Accelerates wealth building dramatically

■ *Always reinvest your RRSP refund. The cycle of: Contribute → Get refund → Reinvest refund is the most tax-efficient wealth-building strategy available to Canadians.*

Best Investments for Your RRSP

Investment Type	Suitable for RRSP?	Reason
US dividend stocks (KO, JNJ, XOM)	■ Excellent	Canada-US treaty: 0% IRS withholding. Best account for US income-producing stocks.
US ETFs (SPY, VTI, QQQ)	■ Excellent	Same 0% withholding. Perfect for large US equity exposure.
Canadian bonds and GICs	■ Good	Interest income shielded from full marginal rate until withdrawal in lower-income retirement.
Canadian eligible dividend stocks	■■ Caution	Dividend tax credit is LOST on RRSP withdrawals. Hold these in TFSA or Margin instead.
Growth ETFs	■ Good	Tax-deferred growth. But TFSA may be better if you expect to pay less tax in retirement.

REITs	■ Good	REIT distributions are return of capital — taxed as income on withdrawal but deferred.

How to Log RRSP Transactions in the Tracker

Transaction	Account Col	Type Col	Other Fields
Deposit money	RRSP	Contribution	Amount in Col K. Deductible on Line 20800.
Buy ETF or stock	RRSP	Buy	Ticker (NASDAQ:KO or TSE:XSP), Shares, Price/Share
Sell ETF or stock	RRSP	Sell	Ticker, Shares sold, Sale price
Cash dividend	RRSP	Dividend	Ticker, Amount in Col K. USD dividends use FX rate.
DRIP	RRSP	DRIP	Ticker, New shares, Price/Share
RRSP withdrawal	RRSP	Withdrawal	Amount in Col K. Add to income on Line 12900.